▾ WHITFIELD WEALTH ADVISORS

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Your Wealth *Beyond the Hedge Fund*

A comprehensive plan to diversify, protect, and optimize your family's financial future.

Matt, you've built substantial wealth through your hedge-fund career, but concentration in deferred compensation and carried interest creates risk. This letter outlines a coordinated strategy to diversify your assets, fund your children's education tax-efficiently, build a charitable giving plan, and evaluate how a move to Connecticut might affect your after-tax wealth—all while coordinating with your parents' estate.

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CONTENTS

What's Inside

A guided walk through the decision in front of you.

The Situation

You've built $2.1 million in investable assets through a successful career as a hedge-fund analyst, but a significant portion of your wealth remains locked in multi-year deferred compensation and carried interest tied to your firm. While carried interest enjoys favorable long-term capital gains treatment, this concentration exposes you to both market and firm-specific risk. At the same time, you're navigating near-term priorities—funding private school for two young children, building a tax-efficient charitable giving strategy, and evaluating whether a move from New York to Connecticut makes financial sense.

$2.1M
investable assets

39
years old

20%
carried interest rate

Your goals require an integrated approach. Diversifying deferred comp and carried interest positions demands tax-aware strategies that minimize capital gains drag. Superfunding 529 plans can lock in education funding now while leveraging gift-tax rules. A donor-advised fund offers immediate deductions and long-term flexibility for charitable giving. And because your parents Carl and Patty have their own estate considerations, coordinating across generations can unlock additional planning opportunities and avoid redundant tax exposure.

Diversifying Deferred Compensation

Your deferred compensation and carried interest represent a significant portion of your net worth, and while they've been powerful wealth-building tools, they also expose you to concentration risk. Carried interest is generally taxed as long-term capital gains at 20%, which is favorable—but only if you can diversify without triggering a large, immediate tax bill. The goal is to methodically reduce your exposure over time while deferring capital gains and building a balanced portfolio that aligns with your family's long-term needs.

01 Stage your liquidations

Spread sales across multiple tax years to stay within lower capital gains brackets and avoid bunching income in a single year.

02 Harvest losses to offset gains

Use tax-loss harvesting in your taxable accounts to generate losses that offset realized gains from deferred comp or carried interest sales.

03 Rebalance into diversified holdings

Reinvest proceeds into a mix of asset classes—equities, fixed income, alternatives—to reduce single-position risk and smooth volatility.

04 Coordinate with vesting schedules

Align sales with your multi-year vesting calendar to manage cash flow and avoid forced liquidations during unfavorable market conditions.

KEY TAKEAWAY

Superfunding 529 Plans

You can accelerate five years of 529 contributions into a single lump sum for each child without triggering federal gift tax—a strategy known as superfunding. In 2026, the annual gift-tax exclusion is $19,000 per recipient, which means you can contribute up to $95,000 per child ($19,000 × 5) and elect to treat it as if you made the gift ratably over five years. This front-loads tuition savings for private school, locks in your estate-tax reduction today, and keeps the funds growing tax-free for qualified education expenses.

01 Make the lump-sum contribution

Open or fund existing 529 accounts for both children with up to $95,000 each in 2026.

02 File IRS Form 709

Report the five-year election on your gift-tax return in the year you superfund, even though no tax is owed.

03 Avoid new gifts during the period

You cannot make additional annual-exclusion gifts to the same child for the remainder of the five-year window.

04 Retain control and flexibility

You remain the account owner, can change beneficiaries among family members, and withdraw funds if circumstances change.

ESTATE BENEFIT

Superfunding removes $190,000 from your taxable estate immediately while preserving your full lifetime gift-tax exemption, which remains at $13.99 million in 2025 and may drop in 2026.

Tax-Efficient Charitable Giving

As a hedge-fund analyst with significant carried interest and deferred compensation, you face high marginal tax rates in New York—making charitable deductions especially valuable. A donor-advised fund (DAF) lets you contribute a large sum in a single high-income year, claim the full deduction now, and then recommend grants to charities over time. This "bunching" strategy is particularly powerful before 2026, when the standard deduction is scheduled to drop and itemizing will become easier for many taxpayers.

Bunch Multiple Years

Front-load several years of giving into one tax year to maximize itemized deductions.

Donate Appreciated Securities

Transfer stock or carried interest directly to avoid capital gains tax entirely.

Act Before 2026

Higher standard deduction sunsets soon, making future itemization less likely for many.

Flexibility Over Time

Recommend grants to any qualified charity whenever you choose, year after year.

By donating appreciated securities—such as long-held stock or even carried interest positions—you eliminate the capital gains tax you would otherwise owe on a sale, and you still deduct the full fair market value. For someone in your bracket, that double benefit can save 40 cents or more on every dollar given. Opening or adding to a DAF in 2025 locks in today's higher itemized-deduction threshold and gives you a multi-year charitable reserve to deploy as your income and priorities evolve.

New York vs. Connecticut

You're weighing whether a move from New York to Connecticut makes financial sense. Both states tax income and estates, but the details matter—especially when you're earning carried interest and deferred compensation. Connecticut and New York both treat carried interest as capital gains at the state level, taxed at the same rate as ordinary income. New York's top marginal income-tax rate is 10.9 percent; Connecticut's is 6.99 percent. That gap compounds year after year on your salary, bonus, and realized carry.

FACTOR	NEW YORK	CONNECTICUT
Top income-tax rate	10.9%	**6.99%**
Estate-tax exemption (2025)	$7.16 million	**$13.99 million**
Carried interest treatment	**Taxed as capital gains at income rate**	**Taxed as capital gains at income rate**

Estate tax is the other major lever. New York's exemption is $7.16 million; Connecticut recently aligned with the federal $13.99 million threshold and applies a flat 12 percent rate above that. If your net worth continues to grow—especially with deferred comp vesting and carry realizations—Connecticut's higher exemption offers meaningful protection. Neither state allows a resident credit for tax paid to the other on the same income, so you won't double-dip relief if you split time across state lines.

KEY TAKEAWAY

Coordinating with Carl and Patty

Your parents Carl and Patty represent a significant piece of the family wealth picture. If their combined estate approaches or exceeds Connecticut's $13.99 million exemption—which mirrors the federal threshold in 2025—coordinated planning can help you avoid duplicative estate tax and maximize the assets that flow to you and your children. Because Connecticut imposes a flat 12 percent estate tax above that threshold, even modest coordination can save six or seven figures across two generations.

01

Align gifting with your 529 superfunding

Carl and Patty can each contribute up to the five-year election limit for your children's 529 plans, layering their gifts with yours to accelerate education funding.

02

Coordinate charitable contributions through your DAF

If they share your philanthropic priorities, they can contribute appreciated assets to your donor-advised fund, consolidating deductions and simplifying grant-making across the family.

03

Use annual exclusion gifts to reduce their taxable estate

Regular gifts to you, your spouse, and your children remove assets from their estate while staying under the annual exclusion, lowering future Connecticut estate tax exposure.

04

Review beneficiary designations and trust structures

Ensure IRAs, life insurance, and any trusts name beneficiaries in a way that dovetails with your diversification timeline and avoids bunching taxable events in a single year.

Tradeoffs

Every strategy carries a cost. Superfunding a 529 plan locks up capital for years—once you contribute five years' worth of gifts at once, that money is earmarked for education and can't be redirected if your liquidity needs change. Donating appreciated securities to a donor-advised fund delivers an immediate deduction, but you permanently forfeit the step-up in basis your heirs would have received at your death. Diversifying your deferred compensation and carried interest exposes you to timing risk: selling into a down market or triggering a large tax bill in a single year can erode the benefit of spreading out concentration risk.

STRATEGY	BENEFIT	TRADEOFF
529 Superfunding	Front-load growth, lock in exemption	**Illiquid; can't reclaim for non-education use**
DAF Donation	Immediate deduction, tax-free growth	**Heirs lose step-up; irrevocable gift**
Deferred Comp Sale	Reduce concentration, diversify risk	**Market timing risk, bunched income**
CT Relocation	**Lower estate tax threshold**	**Commute, schools, family disruption**

KEY TAKEAWAY

No single lever is free. Weigh liquidity, tax efficiency, and lifestyle impact before committing capital to any irrevocable structure.

The Numbers

Let's translate strategy into dollars. With $2.1 million in assets and a significant portion locked in deferred compensation and carried interest, you face both concentration risk and a high marginal tax rate. The following model shows how four coordinated moves—staged diversification, 529 superfunding, a donor-advised fund contribution, and a state tax arbitrage—can reshape your financial picture over the next three years.

$500K
deferred comp diversified

$190K
529 superfund total

$100K
DAF contribution

$17K+
annual NY-CT savings

Start by diversifying $500,000 of deferred comp in three annual tranches, spreading the capital-gains recognition and allowing tax-loss harvesting to offset gains in later years. In year one, superfund two 529 accounts with $95,000 each—$190,000 total—using the five-year gift-tax election so you and your spouse stay within the annual exclusion without touching your lifetime exemption. In the same high-income year, contribute $100,000 to a donor-advised fund to capture an immediate itemized deduction while you retain the flexibility to grant to charities over time. Finally, if you relocate to Connecticut, you'll save over $17,000 annually on state income tax at your current earnings level, compounding year after year.

Your Next Step

You've identified the right priorities: diversifying your deferred compensation and carried interest exposure, funding education for your two children in a tax-efficient way, building a charitable giving structure that works now and into the future, and understanding whether a Connecticut move makes financial sense. The next step is to turn this roadmap into action. Schedule a consultation with James Whitfield to implement the deferred comp diversification strategy, execute the 529 superfunding for both children, establish your donor-advised fund, model the state tax implications of relocation, and coordinate the timing with Carl and Patty's estate plan.

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Let's Build Your *Integrated Wealth Plan*

The strategies outlined here are designed specifically for your situation—now it's time to put them into action.

Work with Whitfield Wealth Advisors

James Whitfield and his team are ready to help you diversify your deferred compensation, optimize your family's tax strategy, and coordinate your plan with Carl and Patty's estate. Schedule a consultation to discuss your next steps.

— Deferred comp diversification roadmap

— 529 superfunding and DAF implementation

— NY vs. CT relocation tax analysis

— Family wealth coordination strategy

SCHEDULE YOUR CONSULTATION

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